

Final Report

Georgian Prediction-Market Platform

Digital Disruption, Innovation and Transformation

Team A

Table of Contents

1. Executive Summary
2. Industry and Competitive Analysis
3. AI Landscape and Opportunity Analysis
4. Platform Strategy Analysis
5. Strategic Options Evaluation
6. Recommended Business Model
7. 18-Month Transformation Roadmap
8. ROI Model and Financial Case
9. Risk Register
10. Change Management Plan
11. Governance Plan
12. Responsible AI Reflection
13. AI Tool Disclosure Appendix
14. References

1. Executive Summary

This report recommends that TBC approve an 18-month controlled launch path for a TBC-owned, GEL-settled prediction-market platform integrated into or adjacent to the TBC mobile banking and wallet ecosystem. The product should launch through an NBG special-designation or sandbox-first route, with responsible-use controls, official-source resolution, market surveillance, mobile banking integration, and regulator-ready governance built before public scale.

The three most important conclusions are clear. First, Georgia has a real market gap for simple, regulated event-contract exposure. Current alternatives include betting, crypto trading, brokerage, cash savings, and foreign platforms, but none combine event-based exposure with Georgian bank trust, GEL settlement, official-source resolution, and bank-grade user protection. Second, regulation is the unlock, but ownership is the strategic prize. TBC should not allow a foreign platform, crypto venue, betting operator, or competing bank to capture the wallet, customer relationship, and event-market data layer first. Third, the financial case is attractive only if TBC owns the wallet-to-market loop. The base case assumes 65,100 active users, GEL 6,546 monthly turnover per active user, a 1 percent take rate, GEL 27.95M annual benefit at stabilization, 8.9-month payback, 99.9 percent IRR, and GEL 57.99M 5-year NPV at an 18 percent discount rate.

TBC should fund this rather than simply partner with Polymarket, Kalshi, or another provider because partnership may import know-how but does not solve the Georgian control problem. NBG classification, GEL settlement, KYC, wallet funding, responsible-use interventions, dispute handling, Georgian-language disclosures, data protection, and regulator-ready evidence still need local ownership. A partner could support liquidity or technology, but TBC should keep the wallet, mobile banking access point, customer relationship, market data, and governance layer.

The cost of inaction is strategic. If a foreign or crypto-native platform enters first, TBC may remain only a payment rail while another actor owns customer attention, wallet behavior, market data, and pricing infrastructure. If a betting operator frames the category first, prediction markets may be pulled toward gambling positioning. If another bank moves first, TBC loses the opportunity to define the trusted local model.

The required board decision is not an immediate public launch. It is approval to fund H1 foundation and H2 sandbox validation, including the Year 1 capital requirement of GEL 12.00M, split into GEL 7.40M CapEx and GEL 4.60M OpEx. Public launch should be conditional on regulatory comfort, wallet reliability, liquidity quality, responsible-use evidence, dispute control, payment economics, and unit economics that track closer to the base case than the severe downside case.

Strategic implication

The platform should be treated as a controlled marketplace, not a normal mobile app feature and not a betting-style product. TBC should proceed only if it can prove that wallet funding, market approval, user protection, surveillance, resolution, and governance work together before scale.

2. Industry and Competitive Analysis

2.1 Industry Definition

The relevant industry is not conventional brokerage alone. It is the emerging intersection of mobile banking, digital wallets, event-contract markets, payment monitoring, crypto and VASP activity, betting substitutes, trading interfaces, and regulatory control systems. The product is not cheap brokerage. It is new-market creation around simple, event-based exposure.

2.2 Rogers' Five Domains

Domain	Evidence	Strategic consequence
Customers	Risk-active users already engage in betting, crypto, brokerage, and speculative assets. Mobile banking users also expect low-friction financial experiences.	The platform must be simple enough for non-brokerage users but controlled enough for a bank context.
Competition	Adjacent competitors include TBC Capital, Bank of Georgia/Galt & Taggart, Binance, Bybit, CityPay, Payze, Adjarabet-style operators, Polymarket, Kalshi, and Manifold.	TBC should compete through trust, GEL settlement, wallet ownership, and official-source resolution.
Data	Market outcomes depend on official sources such as NBG, Geostat, CEO, and FX reference data. User-risk controls depend on wallet, trading, and support data.	Data governance and official-source registries must be built before AI deployment and public scale.
Innovation	The product carries regulatory, reputational, payment, liquidity, and consumer-protection risk.	Innovation must be sandbox-first, with stage gates rather than launch-first scaling.
Value	Users receive simple exposure to public outcomes. TBC receives wallet engagement, retained balances, fees, revenue, and market data. Regulators receive a controlled alternative to offshore or gambling-like substitutes.	TBC should own the category rather than outsource the highest-value layers.

2.3 Christensen Disruption Classification

The recommended platform is best classified as new-market disruption, not low-end disruption. It does not simply offer brokerage at lower cost. It creates a simpler category for users who may not want full securities investing but do want structured exposure to public events such as inflation, GEL exchange-rate bands, NBG decisions, election turnout, or official macroeconomic releases.

Incumbents may rationally ignore the category because early volumes are uncertain, classification is ambiguous, liquidity must be subsidized, and reputational risk is high. That is why the correct structure is a ring-fenced sandbox-first platform, not an immediate mass-market product.

2.4 Porter Five Forces

Force	Intensity	Score	Named actors	Strategic consequence
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Threat of new entrants	Medium to high	4/5	Banks, fintechs, VASPs, global platforms, betting operators	TBC should move early to define the local model.
Supplier power	High	5/5	NBG, PSPs, banks, liquidity providers, official data sources, cloud/security vendors	TBC should internalize wallet and settlement where possible.
Buyer power	Medium	3/5	Retail users, active traders, crypto users, betting users, brokerage users	Product must be simple, transparent, and trusted.
Threat of substitutes	Very high	5/5	Adjarabet, crypto exchanges, TBC Capital, Galt & Taggart, real estate speculation, cash savings	The platform must be more controlled than betting and simpler than brokerage.
Rivalry among existing competitors	Medium	3/5	TBC, Bank of Georgia, Binance, Bybit, CityPay, Payze, betting operators	First mover can shape the category, but only with strong execution.

2.5 Key Competitive Dynamics

Wallet ownership is becoming the strategic control point. If users fund foreign platforms, external crypto wallets, or betting accounts, TBC loses balances, payment flow, customer engagement, and behavioral insight. Global platforms prove demand, but local control determines viability. Betting platforms own attention, but banks own trust. Crypto platforms own speculative liquidity, but not mainstream Georgian bank trust. Brokerage is legitimate, but it does not solve the same customer job.

Conclusion

The category is attractive only if TBC controls the hard-to-copy layers: wallet, GEL settlement, mobile banking access, official-source resolution, responsible-use controls, market surveillance, and regulator-facing governance.

3. AI Landscape and Opportunity Analysis

3.1 AI Adoption Evidence

AI adoption in adjacent financial services is already mature enough to support a controlled platform, but not as "AI prediction." Banks, PSPs, crypto venues, and securities platforms already use automation or AI-assisted systems for KYC, fraud detection, transaction monitoring, market surveillance, support routing, and compliance reporting. For a Georgian prediction-market platform, AI should first protect trust, not predict outcomes.

Capability area	Current adoption evidence	Relevance	Maturity
Fraud detection and payment monitoring	Banks, PSPs, and crypto platforms use rule-based and AI-assisted monitoring	Wallet funding, withdrawals, duplicate identity, AML escalation	Medium to high

KYC and identity checks	Digital onboarding is common to banking and fintech.	Required before wallet access.	High
Market surveillance	Securities and crypto venues flag manipulation and abnormal trading.	Needed for price manipulation, coordinated trading, insider-risk patterns.	Medium
Responsible-use monitoring	Betting platforms use limits and interventions; finance uses suitability warnings.	Needed to separate the product from gambling-style speculation.	Medium
Contract and disclosure generation	Generative AI can draft plain-language explanations with human review.	Useful for market descriptions and bilingual risk warnings.	Medium
Support routing	Chatbots and ticket routing are common in digital finance.	Useful for support triage, but not automatic dispute rejection.	High for basic routing
Outcome-resolution support	AI can extract and summarize official-source evidence.	Useful for resolution memos, not automatic payout approval.	Medium
Reporting automation	AI can draft and summarize reports with human sign-off.	Useful for NBSG, board, and payment-partner packs.	Medium

3.2 AI Opportunity Map

Rank	AI use case	Value chain activity	Business value	Readiness	Regulatory importance	Mobile integration importance	Risk if absent	Total	Priority
1	Market surveillance and manipulation detection	Market integrity	5	4	5	3	5	22	Deploy first
2	Responsible-use scoring and intervention routing	User protection	5	4	5	5	5	24	Deploy first
3	Payment, KYC, wallet and fraud-risk monitoring	Wallet and onboarding	5	4	5	5	5	24	Deploy first
4	AI-assisted market explanations and risk disclosures	Customer education	4	5	4	5	4	22	Deploy first
5	Event eligibility screening	Market approval	5	3	5	3	5	21	Deploy with human review
6	Outcome-resolution support	Settlement evidence	5	3	5	3	5	21	Invest to enable
7	Dispute triage and support routing	Customer Trust	4	4	4	4	4	20	Deploy with guardrails

8	Liquidity and market-maker monitoring	Market quality	4	3	3	2	4	16	Invest to enable
9	Regulatory and payment partner reporting automation	Compliance evidence	4	3	5	2	4	18	Invest to enable
10	Mobile app personalization and suitability prompts	App journey	3	3	4	5	3	18	Use carefully

3.3 Scoring Rationale

The highest-scoring use cases either protect user funds, protect users from harm, protect market integrity, or produce evidence for regulators. Responsible-use scoring and wallet-risk monitoring score 24 because they are essential to the mobile journey and regulatory credibility. Market explanations score 22 because poor wording can cause misunderstanding and complaints. Event eligibility and outcome resolution score 21 because no market should exist without an approved category, official source, payout rule, and dispute path.

3.4 Benchmark Gap Analysis

Kalshi is the most relevant regulated benchmark because it shows the discipline required for event-contract markets: category rules, regulatory engagement, market listing controls, surveillance, and resolution procedures. Polymarket is a useful product and liquidity benchmark because it shows user demand, market interface simplicity, and community-driven market activity. The gap for TBC is not model sophistication. The gap is controlled data, mobile-app integration, human override, and regulator-ready evidence.

Strategic implication

AI should be embedded as control infrastructure. It should screen, draft, flag, route, summarize, and report. It should not approve markets, freeze accounts, resolve payouts, impose long restrictions, or submit regulator-facing reports without human review.

4. Platform Strategy Analysis

4.1 Platform Competitive Structure

The platform should be designed as a wallet-to-market loop. Users discover markets through TBC mobile banking or an adjacent controlled entry point, fund a TBC-linked GEL wallet, trade official-source event contracts, receive resolution and settlement inside the same ecosystem, and access support or dispute routes through Customer Trust.

4.2 Network Effects

Prediction markets have liquidity-driven network effects. More users improve order depth, tighter spreads, and market quality. Better market quality improves trust and repeat usage. However, unmanaged network effects can also amplify manipulation, impulsive trading, and dispute volume. Therefore, growth must be bounded by responsible-use controls, surveillance, official-source resolution, and liquidity monitoring.

4.3 Client's Current Platform Position

TBC already owns strong platform assets: mobile banking distribution, customer trust, KYC capabilities, payment and wallet infrastructure, support channels, data governance experience, and regulator relationships. These assets make TBC better positioned than a standalone fintech to create a Georgian event-contract category. The weakness is that TBC does not currently operate a supervised event-contract marketplace, so governance, market operations, liquidity support, and resolution capabilities must be built.

4.4 Threat Assessment

Threat	Named entrants or substitutes	Consequence
Foreign prediction-market entry	Polymarket, Kalshi-style providers, Manifold-style product	Foreign platform captures the user relationship and market behavior data.
Crypto-native route	Binance, Bybit, VASP operators, crypto wallets	TBC becomes a funding or cash-out rail rather than the platform owner.
Betting platform reframing	Adjarabet-style operators	Category becomes gambling-positioned, increasing reputational and regulatory risk.
Bank competitor entry	Bank of Georgia, Galt & Taggart, other financial groups	TBC loses first-mover advantage in regulated local event contracts.
PSP-led platform	CityPay, Payze, payment gateways	Payment layer captures transaction flow without bank-grade market governance.

4.5 Mobile Banking Integration

Mobile banking integration is a core platform component, not a channel detail. The product should have its own controlled entry point, eligibility gate, product education screen, risk quiz or confirmation, daily exposure and loss-limit display, wallet funding flow, order confirmation showing maximum possible loss, support and dispute route, and audit log for user-impacting actions.

Conclusion

The main platform threat is a foreign or crypto-native platform capturing the wallet and customer relationship while TBC becomes only a payment rail. The strategic answer is for TBC to own the wallet-to-market loop before competitors define the category.

5. Strategic Options Evaluation

5.1 Options

Option	Description	Main risk
Option 1: TBC-owned GEL wallet platform	TBC owns the wallet, mobile bank access, customer relationship, GEL settlement, market approval, governance, and reporting under an NBG route.	Highest execution complexity.
Option 2: International platform partnership	TBC partners with or white-labels Polymarket/Kalshi-style provider technology, market design, or liquidity support.	Strategic dependency and reduced control over wallet, data, economics, and governance.
Option 3: Crypto/VASP-first standalone route	Platform launches through crypto rails, USDC-style settlement, or infrastructure with weaker bank integration.	Regulatory ambiguity, weaker VASP stream trust, and reduced GEL wallet ownership.

5.2 Four-Criterion Evaluation Matrix

Option	Strategic control	Regulatory and trust fit	Financial attractiveness	Execution feasibility	Total
Option 1: TBC-owned GEL wallet platform	5	5	5	4	19/20
Option 2: International platform partnership	3	3	3	4	13/20
Option 3: Crypto/VASP-first standalone platform	2	2	3	3	10/20

5.3 Recommended Option

The recommended option is Option 1: a TBC-owned GEL wallet platform under an NBG special-designation or sandbox-first route. It is recommended for three reasons. It best solves the wallet ownership problem. It has the strongest regulatory and trust fit. It captures the strongest financial upside because bank distribution can lower CAC, GEL wallet settlement can reduce payment friction, and TBC trust can support adoption.

Conclusion

TBC may use partners for technology, liquidity, or benchmarking, but it should not outsource ownership of the Georgian wallet and governance layer.

6. Recommended Business Model

6.1 Value Proposition

For users, the product offers simple exposure to public outcomes inside a trusted bank-linked environment. For TBC, it creates wallet engagement, retained balances, customer insight, trading-related revenue, and a first-mover position in regulated Georgian event contracts. For regulators, it creates a controlled alternative to offshore, crypto-native, or gambling-like substitutes. For payment partners and market makers, it creates a supervised environment with KYC, AML, audit trails, and market-quality monitoring.

6.2 Operating Model Changes by Function

Function	Required change
Mobile Banking Product	Move from channel delivery to controlled product distribution with eligibility, warnings, wallet funding, exposure displays, and support routing.
Product and Engineering	Build controlled workflows, not only screens: source validation, audit logs, wallet flows, user notices, and override logs.
Payments, KYC, AML, and Wallet Operations	Add platform-specific wallet controls, funding velocity checks, withdrawal holds, duplicate-identity review, and settlement reconciliation.
Market Operations	Approve markets through official sources, payout rules, risk disclosures, and dispute paths before listing.
Compliance and Legal	Become embedded decision owners for market taxonomy, risk warnings, legal classification, and NBG engagement.
Responsible Use	Own limits, alerts, cooling-off periods, appeal routes, and intervention thresholds.
Customer Trust	Handle payout disputes, payment holds, account restrictions, wallet questions, and responsible-use appeals with bilingual scripts.
Data and AI	Maintain source registry, model register, audit logs, surveillance alerts, app-interaction logs, and governed wallet-event data.
Governance and Board Oversight	Use stage gates based on evidence, not technical completion alone.

6.3 Revenue Model Logic

The core formula is:

Active traders x monthly turnover per active user x take rate = monthly gross revenue

The base case is:

65,100 active users x GEL 6,546 monthly turnover x 1% take rate = GEL 4.26M monthly gross revenue

The primary revenue stream is spread capture or maker/taker trading fee. Future optional revenue streams may include compliant market-creation fees, analytics products, premium features, or B2B products, but these should not be treated as base-case revenue before liquidity is proven.

6.4 Data and AI Infrastructure Requirements

The platform requires an official-source registry, market taxonomy, wallet ledger, KYC and AML records, trading and order logs, responsible-use logs, support and dispute records, resolution evidence archives, AI model register, human override log, and regulator-ready reporting layer. Data use should be narrow and auditable. Trading, payment, support, and responsible-use data should not quietly become marketing data.

Conclusion

The business model works only if TBC treats the platform as a controlled marketplace. Mobile banking distribution is valuable, but it must be paired with official-source resolution, responsible-use controls, market surveillance, GEL settlement, and regulator-ready reporting.

7. 18-Month Transformation Roadmap

7.1 Sequencing Rationale

The roadmap follows a control-before-scale sequence. Months 1 to 3 establish governance, legal classification, and data governance before AI deployment. Months 4 to 6 prepare the MVP, wallet design, contract templates, and responsible-use controls. Months 7 to 18 validate the sandbox, liquidity, surveillance, outcome resolution, reporting, and unit economics before a public launch decision.

Budget labels in the roadmap follow the course order-of-magnitude guide. Financial model values in Section 8 are stated in GEL.

7.2 Initiative Roadmap

#	Initiative	Horizon	Owner	Budget	Timeline	Dependency	Success metric	Risk
1	Market Governance and Regulatory Design	H1	General Manager, Compliance, Legal	\$100K	Months 1 to 2	None	Committee charter and decision rights approved	Governance ambiguity delays build.
2	NBG Pre-Consultation and Legal Classification Package	H1	Compliance, Legal, Regulatory Affairs	\$100K	Months 1 to 4	1	NBG engagement documented; legal memo covers sandbox, securities, gambling, VASP, and payment risks	Classification may remain unresolved.

3	Official Event Source Registry and Data Governance	H1	Data Governance, Market Operations	\$500K	Months 1 to 4	1	Source registry covers NBG, Geostat, CEC, FX reference data, and backup rules	Poor source quality blocks resolution.
4	Market Taxonomy, Contract Templates, and Risk Disclosures	H1	Market Operations, Compliance, Product	\$500K	Months 2 to 5	1, 3	15 test contracts with source, payout rule, warning, dispute path, and approval record	Wording may be unclear or promotional.
5	Payment, KYC, AML, and GEL Wallet Design	H1	Payments, KYC Settlement	\$500K	Months 2 to 6	1, 2	GEL settlement approved; onboarding and withdrawal process documented	Payment cost or wallet controls may fail.
6	Responsible-Use Framework and User Protection Rules	H1	Responsible Use, Customer Trust, Compliance	\$100K	Months 2 to 6	1, 2	Limits, alerts, cooling-off, risk quiz, notice, and appeal process approved	Controls may be too weak or too restrictive.
7	MVP Trading Workflow and Internal Admin Tools	H1	Product, Engineering, Market Operations	\$1M	Months 4 to 6	3, 4, 5, 6	Internal pilot completes listing, order, wallet, resolution, and dispute flow	MVP may optimize UI before controls.
8	Controlled Sandbox Pilot	H2	General Manager	\$1M	Months 7 to 12	2, 5, 6, 7	Capped sandbox launches; payout dispute rate below 1 percent of active traders per market	Sandbox demand or trust may be weak.
9	Liquidity and Market-Maker Programme	H2	Market Operations and Liquidity	\$500K	Months 7 to 13	4, 7, 8	Top markets keep spreads below 8 percent for 80 percent of monitored hours	Liquidity subsidy may exceed plan.
10	Market Surveillance and Responsible-Use Monitoring	H2	Market Integrity, Responsible Use, Data and AI	\$1M	Months 8 to 14	6, 8	95 percent of high-risk alerts reviewed within SLA	False positives or missed manipulation.
11	Outcome Resolution, Disputes, and Reporting Automation	H2	Resolution Committee, Regulatory Governance	\$500K	Months 10 to 15	3, 8, 10	100 percent of resolved markets have memo, source evidence, dispute log, and audit trail	Disputes may damage trust.
12	Unit Economics and Board Launch Gate	H2	Board Risk Committee, CFO, General Manager	\$100K	Months 15 to 18	8, 9, 10, 11	Board receives go, continue, pivot, or stop recommendation	Board may approve scale without enough evidence.

13	Public GEL-Settled Launch Option	H3	Board, General Manager	\$5M+	Post month 18	12	Activated only if NBG, payment, market integrity, responsible use, and economics are validated	Premature public launch.
14	VASP or USDC Fallback Option	H3	Strategy, Compliance, Payments	\$1M	Post month 18	12	Activated only if GEL route is blocked and legal counsel confirms narrower route	Crypto route may not solve legality.
15	Advanced Market Integrity and Data Products Option	H3	Data and AI, Market Integrity	\$1M+	Post month 18	10, 11, 13	Activated after launch decision with scale-ready analytics	Data reuse could exceed user expectations.

7.3 Change Management Workstream

Change management is a named workstream with a recommended planning budget of GEL 4.0M, equal to approximately 25 percent of the first 18-month transformation investment. It funds stakeholder mapping, decision-rights design, mobile-app journey adoption, role-based training, tabletop exercises, support readiness, compliance adoption, data and audit-log adoption, and monthly adoption reporting.

Conclusion

The roadmap is intentionally staged. Public launch should be a board option after month 18, not a default outcome.

8. ROI Model and Financial Case

8.1 Source Base and Assumption Status

All model outputs are based on analyst assumptions using external proxy evidence for gambling and betting turnover, crypto ownership, digital-assets activity, brokerage context, payment costs, and comparable platform economics. Non-sourced numbers should be treated as assumptions requiring sandbox validation.

8.2 Scenario Assumptions

Driver	Conservative	Base case	Upside
Risk-active user pool	651,000	651,000	651,000
Adoption rate	4 percent	10 percent	18 percent
Monthly active users	26,040	65,100	117,180
Monthly turnover per active user	GEL 6,546	GEL 6,546	GEL 6,546

Monthly platform turnover	GEL 170.5M	GEL 426.1M	GEL 767.1M
Take rate	1 percent	1 percent	1 percent
Monthly gross revenue	GEL 1.70M	GEL 4.26M	GEL 7.67M

8.3 Investment Requirement

Investment item	Amount
First 18-month transformation investment	GEL 15.93M
Base-case CAC to reach 65,100 active users	GEL 4.88M
Total base-case investment to recover	GEL 20.81M
Year 1 CapEx	GEL 7.40M
Year 1 OpEx	GEL 4.60M
Total Year 1 capital requirement	GEL 12.00M

8.4 Year 1 Capital Requirement

Year 1 cost item	Type	GEL amount
Core MVP, wallet workflow, admin tools, and trading interface	CapEx	GEL 2.70M
Official source registry, data governance, and audit logs	CapEx	GEL 1.35M
Payment, KYC, AML, and wallet-ledger integration	CapEx	GEL 1.20M
Market surveillance and responsible use monitoring tools	CapEx	GEL 1.35M
Outcome-resolution and reporting automation build	CapEx	GEL 0.80M
Legal, regulatory, and NBG pre-consultation	OpEx	GEL 0.54M
Market taxonomy, contract templates, and disclosures	OpEx	GEL 0.90M
Sandbox operations, support, and education	OpEx	GEL 1.00M
Liquidity and market-maker reserves	OpEx	GEL 1.35M
Compliance, governance, and reporting run cost	OpEx	GEL 0.81M
Year 1 CapEx total	CapEx	GEL 7.40M
Year 1 OpEx total	OpEx	GEL 4.60M
Total Year 1 capital requirement	Total	GEL 12.00M

8.5 Financial Outputs

Metric	Conservative	Base case	Upside
Total investment to recover	GEL 19.84M	GEL 20.81M	GEL 19.45M
Monthly operating profit before CAC recovery	GEL 643k	GEL 2.33M	GEL 4.85M
Annual benefit at stabilization	GEL 7.72M	GEL 27.95M	GEL 58.24M
Payback period	30.8 months	8.9 months	4.0 months
5-year NPV at 18 percent	GEL 1.93M	GEL 57.99M	GEL 144.77M
IRR	21.7 percent	99.9 percent	208.7 percent

8.6 Severe Downside Stress Test

Severe downside metric	Value
Monthly active users	13,020
Monthly turnover per active user	GEL 3,273
Effective take rate	0.75 percent
Monthly gross revenue	GEL 320k
Monthly operating profit before CAC recovery	-GEL 458k
Total investment to recover	GEL 18.27M
Annual benefit	-GEL 5.50M
5-year NPV at 18 percent	-GEL 33.78M
IRR	Not meaningful

8.7 Sensitivity Analysis

Turnover assumption	Monthly turnover per active user	Monthly operating profit	Payback
50 percent of base	GEL 3,273	GEL 625k	33.3 months
75 percent of base	GEL 4,910	GEL 1.48M	14.1 months
100 percent of base	GEL 6,546	GEL 2.33M	8.9 months
125 percent of base	GEL 8,183	GEL 3.18M	6.5 months

Adoption assumption	Monthly active users	Monthly operating profit	Payback
5 percent adoption	32,550	GEL 625k	29.4 months
7.5 percent adoption	48,825	GEL 1.48M	13.3 months
10 percent adoption	65,100	GEL 2.33M	8.9 months
15 percent adoption	97,650	GEL 4.03M	5.8 months

Conclusion

The base case is financially attractive, but it is not self-validating. The board should require sandbox evidence on adoption, turnover per active user, payment cost, liquidity subsidy, dispute rate, responsible-use interventions, and contribution margin before approving public scale.

9. Risk Register

Risk	Description	Likelihood	Impact	Mitigation	Owner	Residual risk
Regulatory or gambling reclassification	Event contracts may be treated as gambling or otherwise blocked.	High	Very High	NBG pre-consultation, legal memo, narrow official-source taxonomy, sandbox-first route.	Compliance Lead, Legal Counsel	Medium to high
NBG engagement delay	Regulatory feedback may take longer than roadmap assumes.	Medium	High	Start engagement months 1 to 4, maintain board gate, avoid public launch commitments.	Regulatory Affairs	Medium
Liquidity and cost start	Markets may have weak depth, wide spreads, or poor execution.	High	High	Market-maker programme, spread targets, liquidity reserve, market-quality scorecard.	Market Operations and Liquidity Lead	Medium
User harm and reputational risk	Product may encourage impulsive or harmful trading.	Medium	High	Loss limits, deposit alerts, risk quiz, cooling-off, responsible-use monitoring, appeals.	Responsible Use Lead	Medium
Payment, wallet, and KYC risk	Funding, withdrawals, holds, duplicate identities, or AML flags may fail.	Medium	High	TBC-linked GEL wallet, KYC gate, AML review, wallet ledger, reason-coded holds.	Payments, KYC, and Settlement Lead	Medium
Market manipulation	Coordinated trading or insider-risk patterns may undermine market trust.	Medium	High	Surveillance alerts, linked-account review, market pauses, human investigation.	Market Integrity Lead	Medium
Outcome-resolution disputes	Official-source ambiguity or payout errors may create complaints.	Medium	High	Source registry, resolution memos, dispute logs, human review, appeal route.	Resolution Committee Chair	Medium
Mobile banking integration risk	Product could be too frictionless, poorly explained, or mixed with normal bank products.	Medium	High	Controlled entry point, onboarding, risk warnings, limit displays, app-release governance.	Mobile Banking Product Lead	Medium
AI false positive or false negative	AI may wrongly flag users or miss harmful activity.	Medium	High	Human override, false-positive review, model monitoring, audit logs.	Head of Data and Analytics	Medium

Data protection risk	Sensitive trading wallet, KYC, support, and responsible-use data may be overused.	Medium	High	Purpose limitation, access controls, privacy by design, auditability.	Information Security Lead, Data Governance Lead	Medium
Execution and change adoption	Teams may not follow new workflows.	Medium	High	GEL 4.0M change workstream, training, certification, tabletop exercises, adoption dashboard.	PMO	Medium
Platform economic risk	Adoption or turnover may underperform, producing severe downside economics.	Medium	High	Sandbox validation sensitivity tracking, board launch gate.	CFO, General Manager	Medium
Board delay and cost of inaction	Slow decision-making may allow competitors to capture the category.	Medium	Medium	Stage-gate calendar, board packs, cost-of-inaction framing.	Board Risk Committee, General Manager	Medium

Conclusion

The risk profile is high but governable if TBC treats launch as a supervised transformation rather than a standard app release.

10. Change Management Plan

10.1 Workstream Definition and Owner

The workstream should be called the Prediction Market Change Management Workstream. The owner should be the Transformation Office or PMO, with joint sponsorship from the Prediction Market General Manager and Compliance Lead.

10.2 Budget

Change management should be funded at 20 to 30 percent of the first 18-month transformation investment. For the GEL 15.93M first 18-month investment, the range is GEL 3.19M to GEL 4.78M. The recommended planning figure is GEL 4.0M, equal to approximately 25 percent.

10.3 What Changes by Function

Function	Change-management focus
Mobile Banking Product	Controlled product placement, onboarding, risk warnings, wallet journey, support entry, release governance.
Product and Engineering	Auditability, source validation, wallet flows, user notices, override logs, responsible-use controls.
Payments, KYC, and Fraud	Wallet funding, settlement, withdrawal, payment holds, duplicate identity, suspicious activity review.

Market Operations	Source registry, payout rules, risk disclosures, dispute path, app-content approval.
Compliance and Legal	Market taxonomy, legal classification, user warnings, escalation rules, mobile-app positioning.
Customer Trust	Bilingual scripts, adverse-action notices, complaint taxonomy, appeals, quality review.
Data and AI	AI model register, human override log, app-interaction logs, wallet-event logs, data-access controls.
Senior leadership	Stage-gate decisions based on evidence, not technical readiness alone.

10.4 Timeline

Phase	Timing	Budget release	Key activities	Success metric
Governance setup and stakeholder alignment	Months 1 to 3	GEL 900k	Stakeholder map, decision rights, committee routines, mobile-app ownership, communication narrative.	Named owners accept decision rights and escalation responsibilities.
Process adoption and sandbox readiness	Months 4 to 6	GEL 1.20M	Role training, templates, approved app journey, tabletop exercises, support scripts.	100 percent of workflows have owners, thresholds, templates, and app-facing messages.
Live sandbox adoption	Months 7 to 12	GEL 1.10M	Weekly issue reviews, app journey monitoring, support routing, override review, payment-hold review.	95 percent of high-risk AI alerts reviewed within SLA.
Scale readiness and institutionalization	Months 13 to 18	GEL 800k	Board materials, policy updates, training refresh, app-channel readiness, scale assessment.	Board receives adoption, control, wallet, payment, complaint, and unresolved-risk evidence.

Conclusion

The change budget is a control investment. It reduces the risk that the platform is technically built but operationally ungovernable.

11. Governance Plan

11.1 Oversight Body

The oversight body should be the Prediction Market Governance and AI Risk Committee. It should include the Prediction Market General Manager, Compliance Lead or MLRO, Legal Counsel, Head of Data and AI, Market Operations Lead, Market Integrity Lead, Responsible Use Lead, Payments/KYC/Settlement Lead, Customer Trust Lead, Information Security Lead, bank sponsor representative, Internal Audit observer, and Board Risk Committee representative for launch gates.

11.2 Decision Rights and Cadence

The committee has final decision rights over market categories, event-taxonomy exceptions, AI model deployment and rollback, responsible-use thresholds, extended market pauses, severe market-integrity cases, disputed outcomes that meet the Section 11.6 dispute triggers, regulator-facing incident reports, payment-partner reporting packs, public launch recommendations, and mobile-app integration decisions. It meets monthly in months 1 to 3, every two weeks in months 4 to 6, every two weeks during sandbox, and within 24 hours for severe incidents.

11.3 Escalation

Legal classification, NBG engagement, and gambling-risk concerns escalate to the Chief Compliance Officer, external counsel, and Board Risk Committee. Payment, wallet, and AML issues escalate to the Chief Risk Officer delegate and bank payments risk owner. User-harm concerns escalate to the General Manager and Board Risk representative. Model failure, drift, or incomplete logs escalate to Head of Data and AI, Information Security, and Internal Audit. If unresolved issues affect legality, payout accuracy, user funds, account restrictions, or regulator communication, the default action is to pause the workflow.

11.4 Mobile Banking App Integration Decision Rights

The committee should approve product placement, naming, onboarding, risk quiz language, exposure and loss-limit displays, order confirmation wording, responsible-use alerts, cooling-off communication, wallet funding and withdrawal flow, support escalation path, app analytics, and criteria for expanding access beyond sandbox users. No mobile-app release should go live unless the customer journey, risk warnings, wallet flow, support routing, and audit-log requirements are approved.

11.5 EU AI Act-Style Risk Classification

AI use case	Risk tier	Rationale
Event eligibility screening	Limited if advisory; high if automatic approval	Market eligibility affects regulatory exposure and user access.
Contract drafting and risk disclosure	Limited if reviewed; high if published without review	User-facing text can mislead users.
Market surveillance	High	Alerts can lead to review, market pause, holds, or escalation.
Responsible-use scoring	High	Scores can trigger warnings, limits, cooling-off, or restrictions.
Payment, KYC, and fraud monitoring	High	System can delay onboarding, deposits, withdrawals, or wallet access.
Outcome-resolution support	High	Result extraction can affect payout timing and trust.
Dispute triage	Limited if routing only; high if rejecting disputes	Automatic rejection would affect user rights.

Liquidity monitoring	Limited if monitoring only; high if automatic pause	Automatic market action affects user-facing status.
Reporting automation	Limited if drafting only; high if submitted without sign-off	External reports require human accountability.

11.6 Human Override Register

Use case	Trigger threshold	Override authority	Documentation	Maximum review time
Event eligibility screening	Event-risk score above 30/100, official-source confidence below 95 percent, outside taxonomy, exposure above GEL 50,000, restricted categories, or conflicting sources.	Market Governance Committee with Compliance sign-off for restricted categories	Event memo, source record, risk score, decision, reason	48 hours standard; 5 business days for new/restricted categories
Contract drafting and risk disclosure	AI confidence below 98 percent, bilingual legal mismatch, new category, promotional wording risk, revised/multi-source publication.	Market Operations Lead; Compliance for warnings; Resolution Committee for payout clarity	AI draft, final wording, reviewer, change log, checklist	2 business days standard; 5 business days for new categories
Market surveillance	Market price moves more than 20 percentage points within 15 minutes without verified public news; one user or related-account cluster holds more than 25 percent of one side of a market; a market pause would last more than 30 minutes.	Market Integrity Lead with Compliance escalation	Alert, evidence, reviewer, decision, user notice if applicable	24 hours for severe; 3 business days standard
Responsible-use routing	User deposits more than GEL 500 within 24 hours during sandbox; user makes more than 20 trades in one hour; user hits the GEL 100 daily loss limit three times in seven days; responsible-use score increases by more than 30 points in one day.	Responsible Use Lead	Trigger evidence, action, reason code, appeal route	Same day for severe; 2 business days standard
Payment, KYC, and fraud monitoring	Duplicate identity or AML signal is detected; user deposits more than GEL 500 within 24 hours during sandbox; withdrawal hold would last more than 30 minutes; wallet restriction would prevent trading, deposit, or withdrawal access.	Payments, KYC, and Settlement Lead; AML cases to Compliance	Wallet event, risk flag, owner, notice, appeal outcome	24 hours severe; 3 business days standard

Outcome-resolution support	AI extraction confidence for outcome resolution is below 98 percent; more than 10 disputes are filed on one market; more than 1 percent of active traders in a market dispute the result; official source is delayed, revised, ambiguous, or conflicts with the approved backup source.	Resolution Committee Chair	Source evidence, resolution memo, payout decision, dispute log	24 hours for payout-impacting issue; 5 business days complex
Dispute triage and support routing	AI routing confidence below 90 percent; complaint remains unresolved after 24 hours; complaint concerns payout, wallet restriction, payment hold, responsible-use restriction, or market-result appeal.	Customer Trust Lead	Case record, triage reason, owner, communication, outcome	1 business day for sensitive; 3 business days standard
Liquidity monitoring	Bid-ask spread exceeds 30 percent for more than 30 minutes; order-book depth falls below GEL 10,000 on either side for a top-20 market; market-maker quote failure lasts more than 30 minutes.	Market Operations and Liquidity Lead	Market-quality report, action, owner, escalation	1 business day severe; weekly standard
Reporting automation	100 percent of NBG-facing and payment-partner reports require human review before submission; any AI-drafted external report, incident report, payment-partner pack, or data inconsistency requires Compliance sign-off.	Compliance Lead with Regulatory Governance lead	Draft, source data, reviewer, sign-off record	Before submission; no automatic submission

11.7 Georgian Data Protection Obligations

The platform should apply purpose limitation, data minimization, privacy by design and default, security of processing, transparency and user rights, and auditability. Trading, wallet, KYC, support, dispute, responsible-use, and device data should be used only for defined platform purposes. User-impacting automated support should always include a route to human review.

Conclusion

Governance is the operating license of the platform. AI may support decisions, but humans must own market approval, user restrictions, payout resolution, and regulator-facing communication.

12. Responsible AI Reflection

12.1 H1 Use Case Reflection

H1 AI use case	Bias or fairness risk	Transparency obligation	Accountability structure
Event eligibility screening	Category bias may over-accept globally popular markets or over-reject Georgian civic events.	Market page must disclose official source, category, resolution rule, warning, and dispute path.	Market Operations prepares; Compliance reviews; Governance Committee approves listing.
Contract drafting and risk disclosure	Comprehension inequality between expert and entry level users.	User-facing wording must explain event, source, timing, maximum loss, and dispute rights.	Market Operations owns wording; Compliance owns warning; Resolution Committee owns payout clarity.
Responsible-use framework and intervention routing	Over-protection may restrict healthy users; under-protection may miss harmful patterns.	Users must know what actions can trigger alert, cooling-off, restriction, or review.	Responsible Use Lead owns interventions; Compliance reviews thresholds; appeals are human-reviewed.
Payment, KYC, wallet, and fraud monitoring	False positives may affect users with shared devices or irregular payment patterns.	Users must be informed when onboarding, deposits, withdrawals, or wallet access are delayed for review.	Payments/KYC lead owns wallet actions; AML cases escalate to Compliance.
Market surveillance prototype	Manipulation models may flag active users or miss coordinated behavior.	Full surveillance logic cannot be disclosed, but market pauses or account reviews need meaningful notice where user-impacting.	Market Integrity Lead investigates; Compliance escalates severe cases.
Dispute triage and support routing	Automatic routing may deprioritize users with less formal language or incomplete evidence.	Users must have clear support, dispute, and appeal channels in Georgian and English.	Customer Trust Lead owns routing quality and escalation.
Reporting readiness and governance evidence	Report summarization may understate disputes, complaints, or intervention frequency.	Internal reviewers must know which parts were AI-generated; external reports require human sign-off.	Regulatory Governance Lead prepares; Compliance signs off.
Mobile banking app integration controls	Suitability prompts may over-target or under-inform users based on app behavior.	App onboarding must clearly explain risk, limits, funding, maximum loss, support, and cooling-off.	Product Lead owns journey; Compliance and Responsible Use approve wording and thresholds.

12.2 Distinction from Governance

Governance defines authority, thresholds, escalation, and audit requirements. Responsible AI defines fairness, transparency, and accountability to affected individuals. Both are required before sandbox users trade.

Conclusion

The responsible AI standard is practical: every high-impact AI output must be understandable, contestable, documented, and owned by a human role.

13. AI Tool Disclosure Appendix

AI tools were used substantially to support drafting, restructuring, consistency checks, synthesis, and visual planning for the written report. They supported consolidation of source deliverables, cross-checking of repeated language, formatting of Markdown tables, and alignment of ROI, roadmap, governance, risk, and responsible AI content.

AI outputs were verified against the completed project files in Deliverables WK3/Completed/, including the executive summary, industry and competitive analysis, AI landscape and opportunity analysis, strategic options and business model, roadmap, ROI model, governance and change management plan, and responsible AI assessment. Key external source claims were preserved from the source files and should be checked against the original references before PDF submission.

The team remains responsible for the final content. AI-supported text was reviewed and structured around the final strategic direction: a TBC-owned, GEL-settled prediction-market platform integrated into or adjacent to the mobile banking and wallet ecosystem under an NBG special-designation or sandbox-first route.

Conclusion

AI tools supported synthesis and quality control. They did not replace team validation, source checking, or final strategic judgment.

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Internal Evidence Base

Team A. Deliverables WK3/Completed/executive_summary.md

Team A. Deliverables WK3/Completed/industry_competitive_analysis.md

Team A. Deliverables WK3/Completed/ai_landscape_opportunity_analysis.md

Team A. Deliverables WK3/Completed/strategic_options_and_business_model.md

Team A. Deliverables WK3/Completed/roadmap_draft_v1.md

Team A. Deliverables WK3/Completed/pm_roi_v3.md

Team A. Deliverables WK3/Completed/governance_change_management_plan.md

Team A. Deliverables WK3/Completed/responsible_ai_assessment.md

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Team A. deli wk2/Completed/ai_opportunity_mapping_activity.md

Team A. deli wk2/Completed/platform_strategy_canvas_template.md

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